Unit 2

CONCEPTUAL FRAMEWORK OF ACCOUNTING

Contents

2.1 Book-keeping – An introduction

2.2 Book- keeping Vs. Accounting

2.3 Relationship among Book-keeping, Accounting and Accountancy

2.4 Accounting Principles

2.5 Accounting Standards (AS)

2.6 International Financial Reporting Standards (IFRS)

2.7 Accounting Standards in India

Points to recall

The following points are to be recalled before learning conceptual framework of accounting:

- Meaning and definition of Accounting
- Functions of Accounting
- Users of Accounting
- Basic Accounting terminologies

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Learning Objectives

To enable the students to

- Understand the meaning, definition and features of book-keeping
- Evaluate the advantages and limitations of book-keeping
- Understand the accounting concepts and conventions
- Understand the meaning of and need for Accounting Standards

Key terms to know

- Book-keeping
- Accountancy
- Accounting concepts
- Accounting Standards

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